CHAPTER 48

Some Aspects of Corporate Pyramiding

PYRAMIDING IN CORPORATE finance is the creation of a speculative capital structure by means of a holding company or a series of holding companies. Usually the predominating purpose of such an arrangement is to enable the organizers to control a large business with the investment of little or no capital and also to secure to themselves the major part of its surplus profits and increased going-concern value. The device is most often utilized by dominant interests to "cash in" speculative profits on their holdings and at the same time to retain control. With the funds so provided, these successful captains of finance generally endeavor to extend their control over additional operating enterprises. The technique of pyramiding is well illustrated by the successive maneuvers of O. P. and M. J. Van Sweringen, which started with purchase of control of the then relatively unimportant New York, Chicago, and St. Louis Railroad and rapidly developed into a far-flung railroad "empire."[1]

Example: The Van Sweringen Pyramid. The original transaction of the Van Sweringens in the railroad field took place in 1916. It consisted of the

---

[1] The complete story of how this pyramiding was effected is told in the *Hearings before the Committee on Banking and Currency, United States Senate*, 73d Congress, 1st Session, on Senate Resolution 84 of the 72d Congress and Senate Resolution 56 of the 73d Congress, Part 2, pp. 563–777, June 5 to 8, 1933—on "Stock Exchange Practices." The story is also set forth in greater detail and with graphic portrayal in *Regulation of Stock Ownership in Railroads, Part* 2, pp. 820–1173 (House Report No. 2789, 71st Congress, 3d Session), especially the inserts at p. 878 thereof. For graphic and other presentation of the effects of pyramiding in the public-utility field see Utility Corporations (Sen. Doc. 92, 70th Congress, 1st Session, pt. 72-A), pp. 154–166.

The most notorious pyramided structure of recent years was the Insull set-up. An interesting example of a different type is presented by the United States and Foreign Securities Corporation—United States and International Securities Corporation relationship. These two situations are briefly described in Appendix Note 64.